

Operations Review — Q3 2017

Order Fulfilment

Total orders processed Q3 2017: 2,573 [OCR: may be 2,573 or 2,518]

On-time delivery rate: 91.3%

Late deliveries: 223 orders

Primary late causes:

- Carrier delays (FedEx): 142 cases
- Warehouse picking errors: 51 cases
- Address/data issues: 30 cases

Region with highest delay rate: South (14.2% late)

Region with lowest delay rate: West (5.1% late)

Shipping Mode Analysis

Standard Class : 5,832 orders avg 5.0 days cost/order \$6.12

Second Class : 2,014 orders avg 3.1 days cost/order \$9.44 [O may be 0]

First Class : 1,512 orders avg 2.0 days cost/order \$14.77

Same Day : 636 orders avg 0.9 days cost/order \$23.18

CONCERN: Same-day cost/order \$23.18 vs revenue generated \$18.40 — LOSS-MAKING

Recommendation: Same-day restricted to orders >\$150 only (currently no min)

[ACTION: Ops to implement minimum order value for same-day — target date Oct 1]

Returns & Refunds

Total returns Q3: 334

Return rate: 3.3% of orders

By category:

Furniture: 4.8% return rate — HIGHEST — mainly Tables and Bookcases

Technology: 2.1% return rate

Office Supplies: 1.9% return rate — LOWEST

Top return reasons:

1. Damaged in transit (38%)
2. Wrong item shipped (24%)
3. Item not as described (19%)
4. Changed mind / no longer needed (14%)
5. Other / unknown (5%) — [these need better categorisation in CRM]

NOISE/GAP: Return data for Sept 25-30 missing — system migration in progress

Estimated missing returns: ~40 orders — will be captured in Q4 report

Warehouse Operations

Warehouses: West (LA), East (NYC), South (Dallas), Central (Chicago)

West LA:

Capacity utilisation: 78% — optimal

Staff: 34 FTE + 12 seasonal

Issues: None significant

East NYC:

Capacity utilisation: 91% — AT RISK of overflow in Q4 peak

Staff: 28 FTE + 8 seasonal (8 more requested for Nov-Dec)

Issues: Rack storage system upgrade scheduled Oct — 3-day partial closure

South Dallas:

Capacity utilisation: 65%

Staff: 22 FTE

Issues: 2 forklifts out of service — maintenance backlog

[NOTE: Dec system outage risk flagged — see separate IT report]

Central Chicago:

Capacity utilisation: 70%

Staff: 19 FTE [OCR: may be 19 or 19]

Issues: New WMS system implementation — some data gaps during transition

NON-US OPERATIONS NOTE

This report covers US operations ONLY.

Canada pilot (3 stores, non-superstore product range) is tracked separately.

Mexico distribution partnership: TERMINATED Q2 2017 — not in this data.

Any references to international ops below are errors — please flag.

[GARBAGE DATA FROM SYSTEM MIGRATION — IGNORE LINES BELOW]

ZZZ_TEST_RECORD: warehouse=NULL location=UNKNOWN orders=9999999

IMPORT_ERROR_ROW_4421: data corrupted during migration -- exclude from analysis

---DELETE FROM HERE--- placeholder placeholder placeholder ---END DELETE---

Prepared by: Operations Analytics Team

Review cycle: Quarterly

Next review: Q4 2017 (target date: Jan 15 2018)

Distribution: Ops Leadership, Finance, CEO

Version: FINAL 1.0 [Note: 'FINAL' but CFO comments still pending]